

Leading Index momentum dips back below trend

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The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, declined to -0.13% in March from $+0.05\%$ in February.



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- Leading Index growth rate declines to –0.13% in March.
- First below-trend pace since August last year.
- Interest rates and global energy shock clearly impacting.

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The Australian economy has lost momentum over the first few months of the year with more weakness likely to emerge in the months ahead. The March Index already points to a period of below-trend growth over the remainder of 2026. While the growth pulse is not overly weak, it is the first below-trend read since August last year and, prior to that, since the extended period of weakness during the ‘cost-of-living’ crisis of 2022–2024.

The Leading Index growth rate has now swung from +0.31% in October last year to –0.15% currently, a 0.44ppt deterioration. The detail shows clear drags from the shifting interest rate backdrop and the global energy shock associated with the conflict in the Middle East.

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